

National Summary

Overall Economic Activity

On balance, economic activity was little changed in nearly all Districts since early September, though two Districts reported modest growth. Most Districts reported declining manufacturing activity. Activity in the banking sector was generally steady to up slightly, and loan demand was mixed, with some Districts noting an improvement in the outlook due to the decline in interest rates. Reports on consumer spending were mixed, with some Districts noting shifts in the composition of purchases, mostly toward less expensive alternatives. Housing market activity has generally held up: inventory continued to expand in much of the nation, and home values largely held steady or rose slightly. Still, uncertainty about the path of mortgage rates kept some buyers on the sidelines, and the lack of affordable housing remained a persistent problem in many communities. Commercial real estate markets were generally flat, although data center and infrastructure projects boosted activity in a few Districts. The short-lived dockworkers strike caused only minor temporary disruptions. Hurricane damage impacted crops and prompted pauses in business activity and tourism in the Southeast. Agricultural activity was flat to down modestly, with some crop prices remaining unprofitably low. Energy activity was also unchanged or down modestly, and lower energy prices reportedly compressed producers' margins. Despite elevated uncertainty, contacts were somewhat more optimistic about the longer-term outlook.

Labor Markets

On balance, employment increased slightly during this reporting period, with more than half of the Districts reporting slight or modest growth and the remaining Districts reporting little or no change. Many Districts reported low worker turnover, and layoffs reportedly remained limited. Demand for workers eased somewhat, with hiring focused primarily on replacement rather than growth. Worker availability improved, as many contacts reported it had become easier to find the workers they need. However, contacts noted that it remained difficult to find workers with certain skills or in some industries, such as technology, manufacturing, and construction. Wages generally continued to rise at a modest to moderate pace. With the improvement in worker availability, contacts in multiple Districts pointed to a slowdown in the pace of wage increases. Still, larger than usual pay increases were reported for some workers, such as those in the skilled trades or in remote areas.

Note: This report was prepared at the Federal Reserve Bank of New York based on information collected on or before October 11, 2024. This document summarizes comments received from contacts outside the Federal Reserve System and is not a commentary on the views of Federal Reserve officials.

Prices

Inflation continued to moderate with selling prices reportedly increasing at a slight or modest pace in most Districts. Still, the prices of some food products, such as eggs and dairy, were reported to have increased more sharply. Home prices edged up in many Districts, while rents were reported to be steady or down slightly. Many Districts noted increasing price sensitivity among consumers. Input prices generally rose moderately. Contacts across several industries noted more acute pressures from rising insurance and healthcare costs. Multiple Districts reported that input prices generally rose faster than selling prices, compressing firms' profit margins.

Highlights by Federal Reserve District

Boston

Economic activity was flat, as was employment, and prices increased slightly. International travel was a bright spot, and the summer tourism season on Cape Cod was described as strong. More broadly, consumers remained highly price conscious, and certain manufacturers had persistently weak sales. Home sales and home prices softened noticeably over the summer. Contacts were cautiously optimistic about the outlook for late 2024 and 2025.

New York

On balance, regional economic activity was little changed. Employment increased slightly and wages continued to increase moderately. Housing markets remained solid, with home prices continuing to edge up. Selling price increases remained modest. Capital spending plans were strong, with some investments already underway.

Philadelphia

Business activity continued to decline slightly in the current Beige Book period. Consumer spending fell modestly, and nonmanufacturing activity fell slightly. Employment appeared to rise slightly, after falling slightly last period. Wage growth continued at a modest pace, as did reported rises in input costs and prices. Expectations for future growth rose—becoming more widespread for both manufacturers and nonmanufacturers.

Cleveland

Overall, Fourth District business activity was stable. Residential construction and real estate activity increased and demand for nonfinancial services remained strong. By contrast, consumer spending and demand for manufactured goods remained soft. Employment levels were stable. On balance, wages increased modestly, nonlabor costs grew moderately, and selling prices increased slightly.